

GLOBAL STANDING

- In 2022, India's insurance industry was ranked the 10th globally with a premium volume of \$131 billion
- India holds 1.9% share in global insurance premiums and is projected to become the sixth-largest by 2032

PREMIUM PAID BY REGION IN 2022 (IN \$ BILLION)			
REGION	LIFE	NON-LIFE	TOTAL
Advanced markets	2,140.47	3,356.40	5,496.87
Emerging markets	672.56	612.8	1,285.35
Asia-Pacific	1,032.81	692.16	1,724.97
India	99.5	31.53	131.6
World	2,813.03	3,969.20	6,782.23

SOURCE IRDAI ANNUAL REPORT/ SWISS RE SIGMA WORLD INSURANCE REPORT

products that specifically deal with climate risks and natural disasters. “Climate change is a growing concern across the globe, and India is no different; between 2001 and 2021, we witnessed more than 350 natural catastrophes. Incidents like floods, cyclones, and landslides are on the rise across the length and breadth of the country. The protection gap between insured loss and economic loss is alarmingly wide, at more than 90%,” says Singhel.

Insurers, both public and private, governments at the state and central levels, and regulatory bodies have to come together to make country-wide parametric insurance, or insurance related to specific events, a reality. “The product will go a long way in bridging the protection gap and helping Indian citizens rebuild their lives much more swiftly after a [catastrophic] event,” adds Singhel.

Among emergent risks, there is the threat of cyberattacks, which is expected to spur a surge in demand for cybersecurity insurance,



“Low insurance penetration and the huge protection gap stemming from low awareness around insurance is one of the biggest challenges that the industry is facing”

VIBHA PADALKAR
MD & CEO, HDFC LIFE

which protects entities from the financial impact of cyberattacks. “Insurers will go beyond merely covering damage, taking a proactive approach by offering risk management services and security assessments to help businesses fortify their defences. Beyond individual companies, we might see public-private partnerships emerge, with governments and insurers joining forces to create strategies for mitigating cyber risks and amplifying public awareness of looming threats,” says Mahyavanshi of Turtlemint.

REGULATORY CHANGES

Not to be left behind, the regulator, Irda, too, is preparing to make changes as it looks to meet its target of insurance for all by 2047. For instance, it plans to launch initiatives like Bima Vistaar, a social security-related product; Bima Sugam, a one-stop portal for all insurance-related products; and Bima Vahak, an insurance distribution channel. These could ensure that insurance becomes widely available.

Take the case of Bima Vahak. It operates as a women-centric distribution model, intended to extend coverage to every gram panchayat or household nationwide. The lead insurer takes charge in states allocated to insurers, offering a comprehensive mix of all-in-one insurance products for home, life, and health insurance under Bima Vistaar.

“Currently, the insurance sector predominantly focusses on major cities and metropolitan areas. However, this trend is set to change with the Bima trinity (Vistaar, Vahak, and Sugam) as the industry extends its reach into semi-urban and rural India,” adds Singhel.

Considering the low insurance penetration in the country, customers will hope that these envisaged changes come to fruition soon. **BT**

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